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GNIOT Institute of Management Studies – PGDM (Batch 2021-23)

(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2022

Investment Analysis & Portfolio Management

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:

(10×3=30)

- (a) Define the term 'Portfolio'.
- (b) Explain the key differences between an investor and a speculator?
- (c) Explain EIC analysis framework.
- (d) "Financial risk is a function of financial leverage." Explain.
- (e) Write a note on "Bullish and Bearish trend"
- (f) Explain the concept of industry life cycle.
- (g) Explain the objectives of Financial Investment.
- (h) Write a note on SEBI.
- (i) State and explain the objectives of investment activity.
- (j) Explain Systematic Risk.

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2.(a) Compare and contrast between fundamental analysis and technical analysis.

OR

- (b) Fundamental analysis provides an analytical framework for rational investment decision making". Explain.

Q.3.(a) "Portfolio evaluation provides a feedback mechanism for improving the entire portfolio management process." Explain.

OR

- (b) As a portfolio management consultant, you are approached by an investor with investible funds of ₹25 lakhs. He wants to know from you that what are the investment avenues available to him which will give a stable return with minimum risks.

Q.4. (a) Explain the single index model proposed by William Sharpe.

OR

- (b) "The Elliot Wave Theory is based on the principle that action is followed by reaction." Elucidate.

Q.5. (a) “CAPM can be used to evaluate the pricing of securities.” Discuss.

OR

(b) “Arbitrage Pricing Theory (APT) is a multifactor model of asset pricing.” Explain.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

6(a) The following information is taken from the records of two companies in the same industry:

	A Ltd. `inlakh	B Ltd. `inlakh
Cash	2	3
Debtors	3	7
Stock	12	10
Plant and machinery	18	23
Total assets	35	43
Sundry creditors	9	10
12% debentures	5	10
Equity capital	11	18
Reserve and surplus	10	5
Total liabilities	35	43
Sales	60	85
Cost of goods expenses	40	65
Other operating expenses	8	10
Interest expenses	0.60	1.20
Income tax	3.40	3.80
Dividend	1.00	2.00

Answer each of the following questions by making a comparison of one or more relevant ratios:

- (a) Which company is using the share holders 'money more profitably?
- (b) Which company is better able to meet its current debt?
- (c) If you want to purchase the debentures of one company which company's debentures, would you buy?
- (d) Which company collects its receivable faster assuming all sales are on credit basis?
- (e) Which company retains the larger proportion of income in the business?

6(b) Calculate the expected return and the standard deviation of returns for stock having the following probability distributions of firms.

Possible returns (in per cent)	Probability of occurrence
-25	0.05
-10	0.10
0	0.10
15	0.15
20	0.25
30	0.20
35	0.15